Retention Playbook P3 - Discount-Expiry & Price-Sensitivity Retention

When this applies

This playbook targets subscribers who are discount-dependent: actual_amount_paid is substantially below plan_list_price, or the discount field is high relative to the plan tier. This is a validated, real churn driver, not a collinearity artifact - raw churn rates rise sharply across price quartiles even after controlling for the discounted segment, meaning the price effect holds up on its own and is not just riding on auto-renew status.

The core risk moment is the discount's expiry date: subscribers in this segment churn disproportionately in the cycle where their promotional rate rolls off to full plan_list_price, not randomly across the subscription lifecycle.

Recommended interventions

Do not simply re-offer the same discount indefinitely - this teaches the base that cancelling (or threatening to) is the way to extract a renewed discount, and it does not address the underlying price sensitivity, it just delays the same churn event to the next expiry.

Instead, step the discount down gradually (e.g. 40% off the first term, 25% the second, 10% the third) so the price gap the subscriber has to absorb at any single renewal is smaller, and frame the communication around what the subscriber has been using (song variety, listening history) rather than around the price change itself.

For subscribers on the highest list-price tiers, consider a plan-tier downgrade offer instead of a discount on the current tier - the subscriber keeps paying full price for a plan they can afford, which does not carry the same "waiting for the discount to expire again" dynamic as a discount renewal.

Segment note

Price sensitivity is concentrated in specific plan tiers (plan_list_price extremes) and should not be treated as a uniform population - a small discount matters much less to a subscriber on a premium multi-device plan than to a subscriber on the cheapest single device tier. Segment the offer size to the list price tier, not to a flat percentage.